HDFC BANK – HDFC LTD MERGER

M&A Deal Analysis — Deal Rationale, Synergies & EPS Impact

Deal Value	Announced	Completed	Project Type
~$40 Billion	April 2022	July 2023	Self-Initiated

1. Deal Overview

The HDFC Bank-HDFC Ltd merger closed in July 2023 and is one of the biggest deals India's financial sector has seen, at around $40 billion (roughly INR 3.3 lakh crores). It was a share swap — HDFC Ltd shareholders received 42 HDFC Bank shares for every 25 HDFC Ltd shares held, implying a price of around INR 1,700 per HDFC Bank share at completion.

The combined entity became one of the largest banks in India by assets, with a balance sheet exceeding INR 33 lakh crores at the time of merger completion.

2. Company Profiles — Pre-Merger

HDFC Bank	HDFC Ltd
India's largest private sector bank by market cap	India's largest housing finance company (NBFC)
Revenue: INR 1,94,696 Cr (FY2023)	Revenue: INR 22,594 Cr (FY2023)
PAT: INR 44,109 Cr (FY2023)	PAT: INR 13,741 Cr (FY2023)
Shares Outstanding: ~555.9 Cr	Shares Outstanding: ~170.6 Cr
EPS: INR 79.4 (FY2023)	EPS: INR 80.5 (FY2023)
Primarily funded by low-cost retail deposits	Primarily funded by market borrowings (higher cost)

3. Deal Rationale — Why This Merger Made Sense

Access to Low-Cost Funding

Before the merger, HDFC Ltd had to borrow from the bond market at around 7–8% to fund its home loans. HDFC Bank collects retail deposits at 4–5%. So after the merger, the same loan book gets funded at a meaningfully lower cost. When I calculated this — roughly 150 bps savings on INR 7 lakh crores+ of loans — it came out to INR 10,500–14,000 crores per year just from this one change. That is the single biggest value driver of this whole deal.

Cross-Sell Across a 68M+ Combined Customer Base

HDFC Bank had ~68 million customers and HDFC Ltd had a separate mortgage customer base. Pre-merger, HDFC Bank was distributing HDFC Ltd's home loans and earning only a fee. Post-merger, 100% of the economics stay within the entity. Additionally, HDFC Ltd's mortgage customers could be cross-sold savings accounts, credit cards, and investment products.

Regulatory Tailwinds

RBI's scale-based regulation (SBR) framework was increasing compliance requirements for large NBFCs like HDFC Ltd. Merging into a bank removed this regulatory overhang and gave the combined entity a more efficient regulatory structure going forward.

4. Synergy Analysis — Quantified Estimates

4.1 Revenue Synergies

Revenue Synergy Source	Basis	Est. Annual Impact
Home loan cross-sell to bank customers	% of 68M base buying home loans	**INR 2,000–3,500 Cr/year**
Banking products to HDFC Ltd mortgage customers	Cross-sell rate on mortgage base	**INR 1,000–1,500 Cr/year**
Eliminating distributor fee (HDFC Ltd paid Bank)	~0.5% on INR 2L Cr new disbursals	**INR 1,000 Cr/year**
Total Estimated Revenue Synergies		**INR 4,000–6,000 Cr/year**

4.2 Cost Synergies

Cost Synergy Source	Basis	Est. Annual Impact
Lower cost of funds (deposits vs. bonds)	~150 bps savings on INR 7L Cr book	**INR 10,500 Cr/year**
Shared back-office & IT infrastructure	Elimination of duplicate systems	**INR 800–1,200 Cr/year**
Reduced compliance & regulatory costs	Single entity vs. two regulated entities	**INR 300–500 Cr/year**
Total Estimated Cost Synergies		**INR 11,600–12,200 Cr/year**

5. EPS Accretion / Dilution Analysis

The swap ratio was 42 HDFC Bank shares for every 25 HDFC Ltd shares. At the time of merger completion (July 2023), this implied HDFC Ltd shareholders received HDFC Bank shares at approximately INR 1,700/share (HDFC Bank market price at the time).

Metric	Value

HDFC Bank standalone PAT (FY2023)	INR 44,109 Cr
HDFC Ltd standalone PAT (FY2023)	INR 13,741 Cr
Combined PAT (pre-synergies)	INR 57,850 Cr
Estimated synergy benefit (post-tax, partial year 1)	INR 3,000–5,000 Cr
Adjusted Combined PAT	**INR 60,850–62,850 Cr**
HDFC Bank shares post-merger (approx.)	~741 Cr shares
Pre-merger HDFC Bank EPS (standalone)	INR 79.4
Post-merger EPS (combined, pre-synergies)	INR 78.1 (slight dilution of ~1.6%)
Post-merger EPS (with partial synergies)	**INR 82–85 (accretive by ~3–7%)**

Interpretation: The merger is mildly dilutive in Year 1 before synergies, but becomes EPS-accretive once cost-of-funds savings and cross-sell revenue kick in — typically within 12–18 months. This is a common pattern in bank mergers where integration costs front-load the P&L but structural benefits are longer-dated. Based on this analysis, I concluded the deal is value-accretive for HDFC Bank shareholders over a 2–3 year horizon.

6. Key Risks

- Integration risk — merging two large entities with different cultures, IT systems, and underwriting standards is operationally complex and typically takes 18–24 months
- Regulatory compliance — as a merged bank, HDFC Bank faces stricter SLR/CRR requirements on the HDFC Ltd loan book, which could constrain NIM in the near term
- Asset quality — HDFC Ltd's loan book quality needs to be absorbed without material NPA surprises; any deterioration in the mortgage portfolio directly impacts HDFC Bank's capital ratios
- Short-term EPS dilution — before synergies fully materialise, the additional shares issued weigh on EPS and ROE metrics

7. Conclusion

When I started looking at this deal, the $40 billion number was the first thing that caught my attention. But digging into the financials, the logic is actually straightforward once you see the cost-of-funds angle. HDFC Ltd was borrowing expensively; HDFC Bank has cheap deposits. Combining them solves that problem immediately, and the savings are large enough to more than cover the short-term integration pain.

The EPS dilution in Year 1 is about 1.6% — real but manageable. Once synergies come through, the combined EPS should comfortably exceed HDFC Bank's standalone number. I came away from this analysis thinking the deal is financially well-structured, even if the integration timeline will be the harder part to execute.

— End of Report —